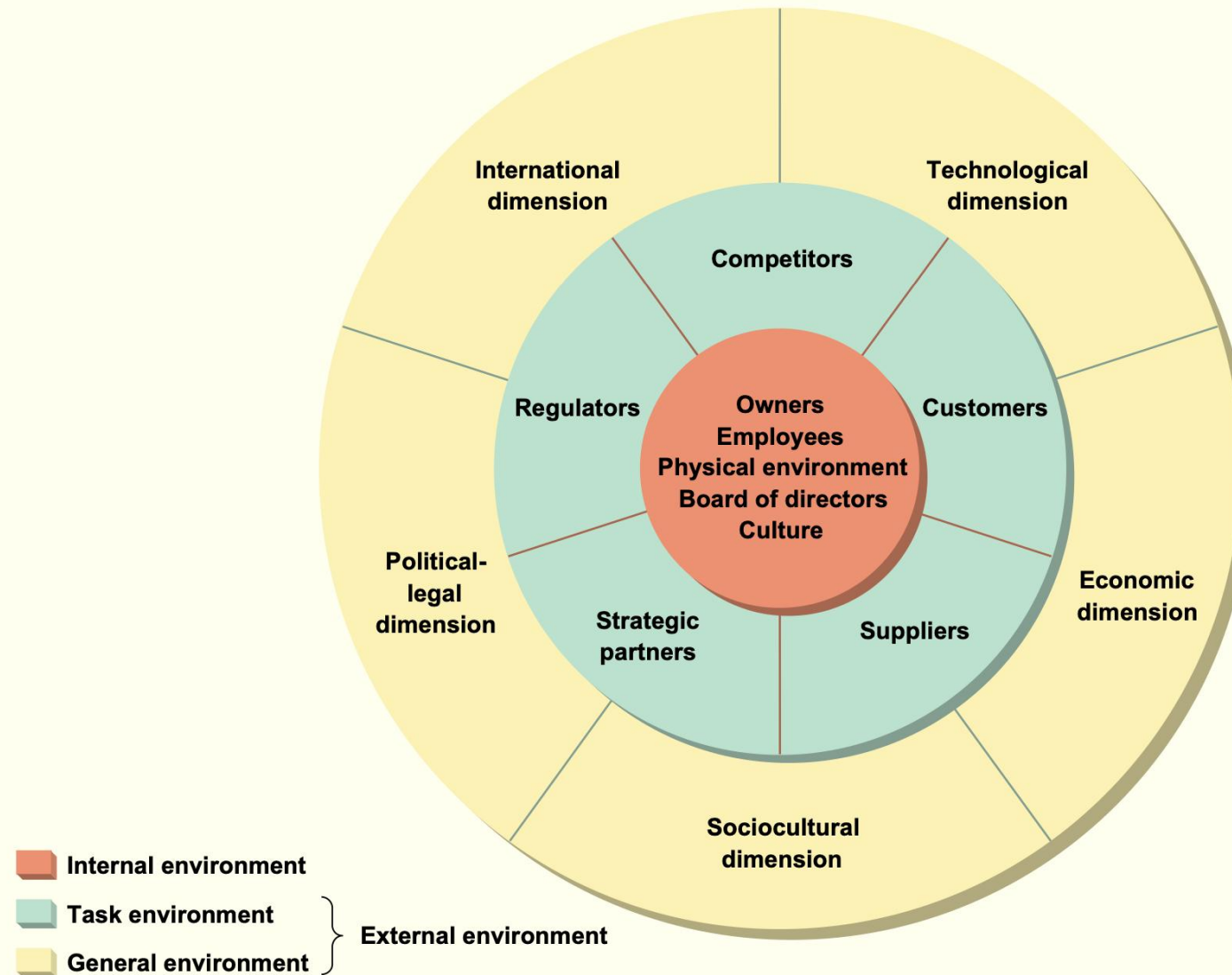


4. 1. Definition of organizational environment

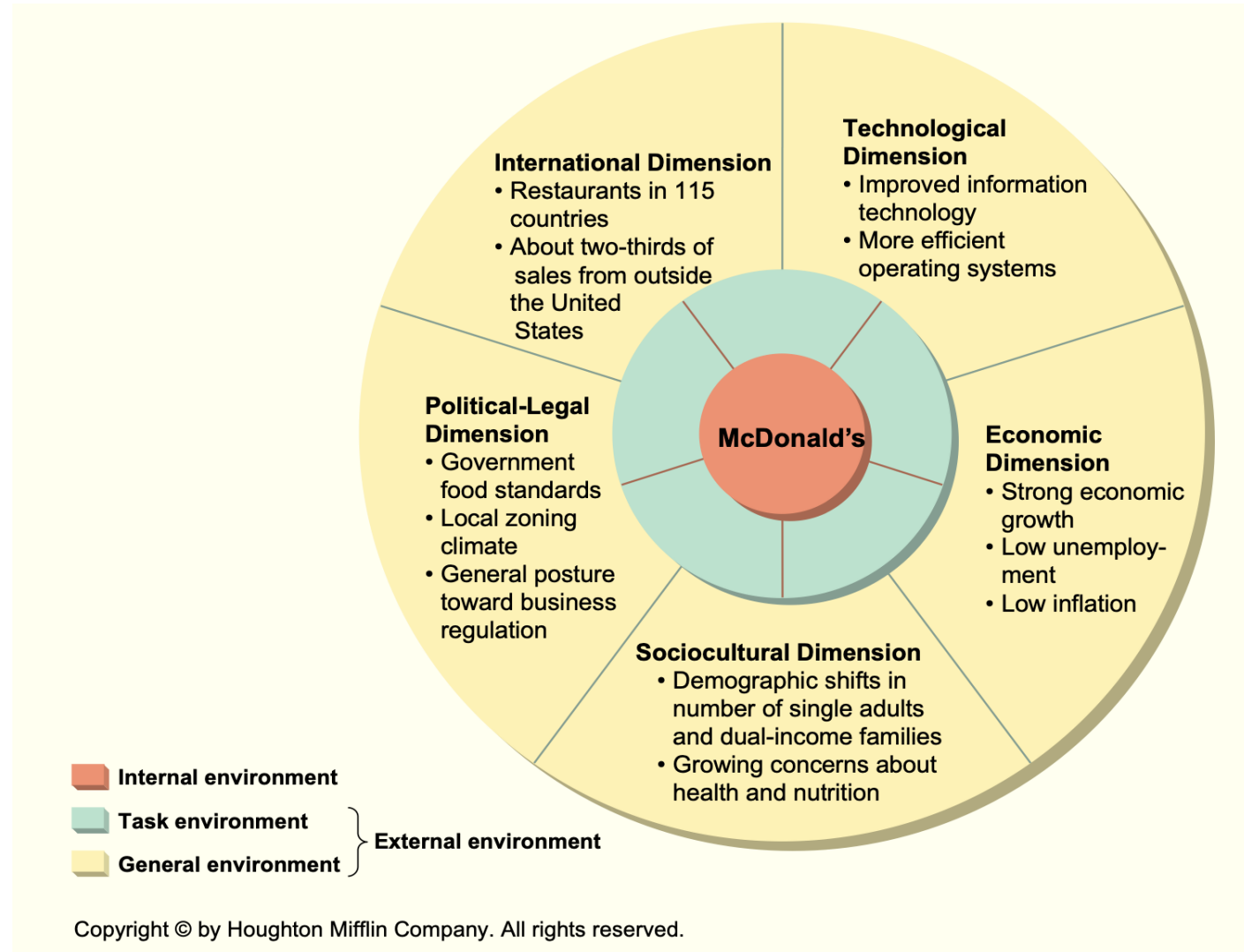
An organization's environment is defined as all the factors and forces existing **within** and **outside** the organization that can **directly** or **indirectly** affect **organizational performance** & **managerial decision-making**.



4. 2. Classification of organizational environment



McDonald's General Environment



Assessing Environmental Uncertainty

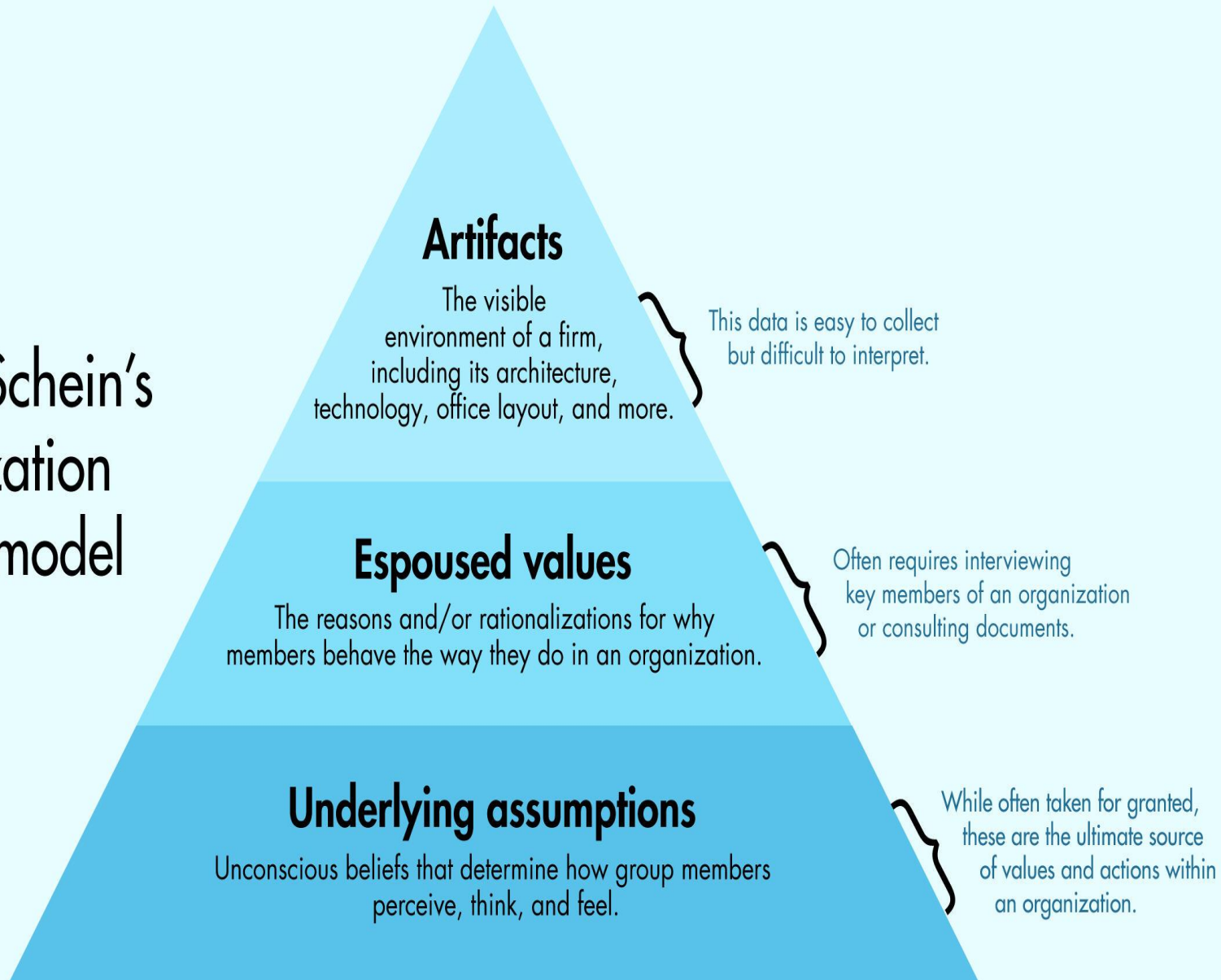
		Degree of Change	
		Stable	Dynamic
Degree of Complexity	Simple	Cell 1 Stable and predictable environment Few components in environment Components are somewhat similar and remain basically the same Minimal need for sophisticated knowledge of components	Cell 2 Dynamic and unpredictable environment Few components in environment Components are somewhat similar but are continually changing Minimal need for sophisticated knowledge of components
	Complex	Cell 3 Stable and predictable environment Many components in environment Components are not similar to one another and remain basically the same High need for sophisticated knowledge of components	Cell 4 Dynamic and unpredictable environment Many components in environment Components are not similar to one another and are continually changing High need for sophisticated knowledge of components

4. 2. Classification of organizational environment

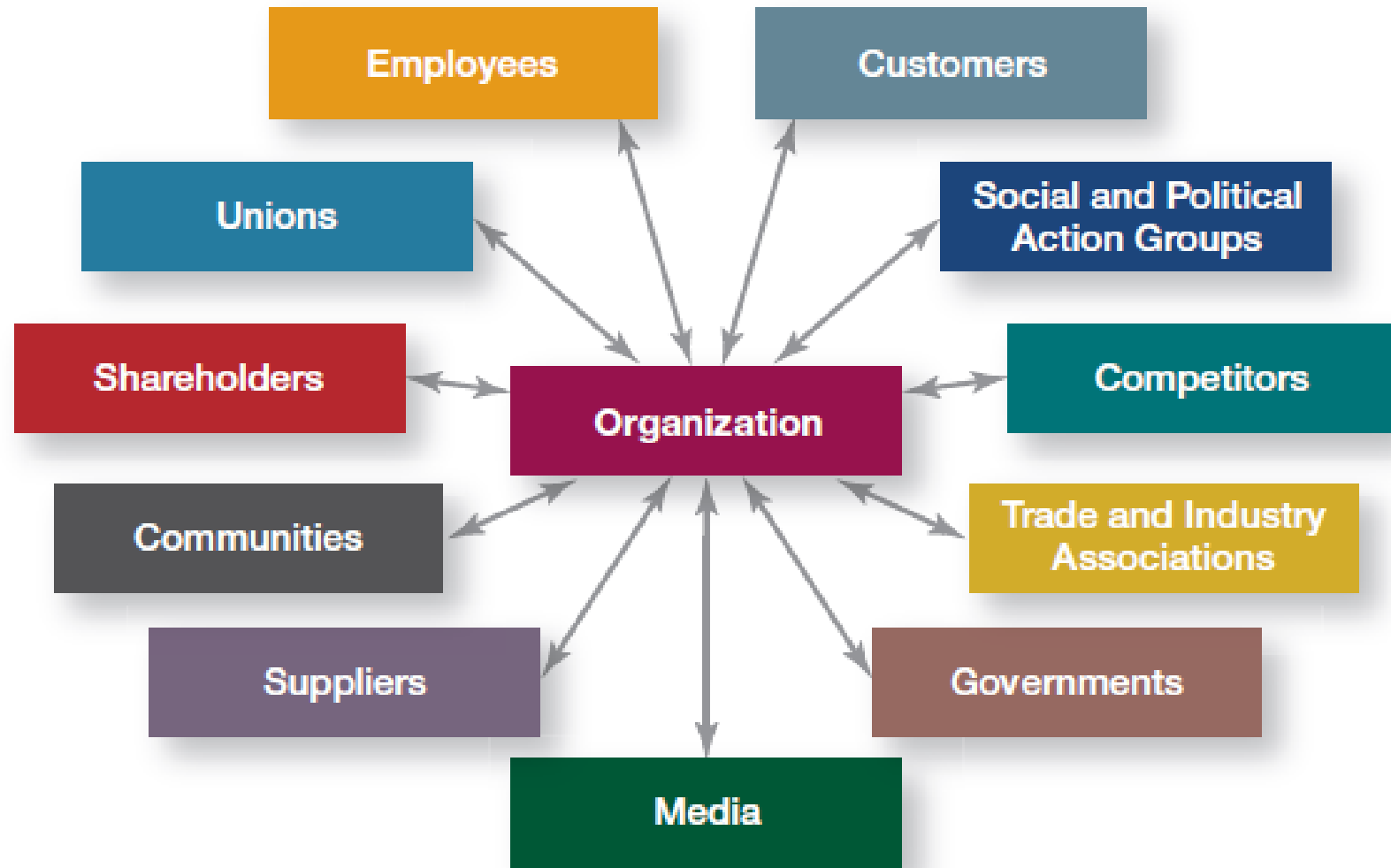
Organizational Culture

- A set of values, beliefs, behaviors, customs and traditions that affect organizational activities, feeling, thinking and behaviors of all members in pursuing organizational goals.
- Managers need to comprehend organizational culture to co-ordinate with others.

Edgar Schein's organization culture model



Organizational Stakeholders



Challenges and Opportunities for MANAGEMENT

- Expansion or downsizing
- Workforce diversity: transitioning from a "melting pot" approach to a "celebration of differences" approach
- Trend towards empowering employees
- Encouraging creativity
- Decreasing employee loyalty towards organizations
- CSR

Challenges and Opportunity

Melting Pot vs. Salad Bowl

- The Melting Pot theory requires that immigrants assimilate in order to become one common culture-“American”
- The “Salad Bowl” theory basically calls for us to celebrate our diversity along with our oneness.

